MICROECONOMICS

MICRO-50

Time: 5 minutes

Outcome: Analyze Collusion, Cartels & Prisoner's-Dilemma Incentives.

Difficulty: Intermediate

Collusion, Cartels & Prisoner's-Dilemma Incentives

THE CORE IDEA

A cartel coordinates firms to restrict industry output and raise price as a monopolist would. Individual incentives can push both firms toward a lower-payoff noncooperative outcome. The conflict is between individual and collective incentives. A prisoner’s dilemma exists precisely because individual incentives can undermine a jointly better outcome.

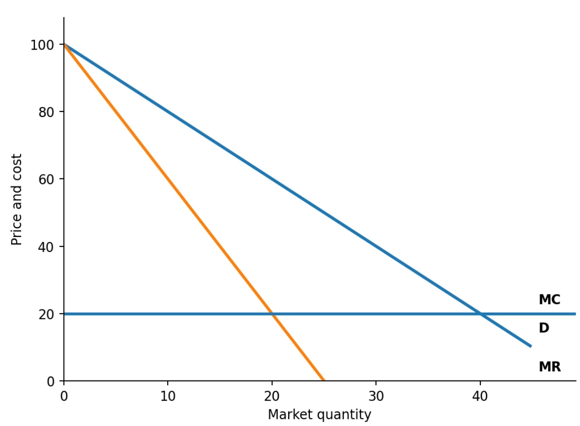
HOW TO RECOGNIZE IT

- Individual incentives can push both firms toward a lower-payoff noncooperative outcome.
- The conflict is between individual and collective incentives.
- A prisoner’s dilemma exists precisely because individual incentives can undermine a jointly better outcome.
- Three firms agree to keep prices high.

WATCH OUT

Do not miss individual incentive to defect. The conflict is between individual and collective incentives. Private incentives can conflict with the cartel’s collective restriction.

WORKED EXAMPLE: WHY CARTELS BREAK DOWN



A cartel acts like one monopolist and selects industry output where industry MR equals MC. On the graph, the downward-sloping MR curve meets the $20 MC line at 20 units. The cartel then uses demand to set price. Each member has an incentive to sell extra units, which makes the agreement unstable.

CHECK YOURSELF

What does mutual defection show?

READY? **Return to the game and master this concept.**